

UNIT-7 [Around 5 marks]

Managing Contracts and people

⊗ Introduction: A contract is a type of agreement where there is an exchange of legally enforceable (न्याय गन सक्तिन) agreement between parties. Managing contract involves creating and enforcing agreements with vendors, clients and team members to ensure the project is completed on time and within budget. This also includes defining project scope, deliverables, timelines and payment terms.

Managing people involves leading, motivating and directing team members to ensure the project's success. This includes setting clear goals, providing regular feedback, resolving conflicts, and creating a positive and productive work environment. It also involves managing resources effectively, including assigning tasks, tracking progress, and ensuring team members have the necessary skills and tools to complete their work.

⊗ Types of Contract:

→ Fixed Price Contracts: A fixed price contract determines the price of a certain amount of work, regardless of the actual cost of implementation. It can provide financial incentives for achieving specific project goals.

→ Project scope is firmly fixed and is not subject to change during development.

→ Detailed project scope is developed and approved before work starts.

→ The time frame and the number of working hours required for development are strictly determined.

→ The FP contract price includes all known risks that can happen during project performance.

Time and Materials contracts: This type is well suited for projects where the amount of work cannot be sufficiently determined in advance, and the project is split into separate tasks. The assignments are executed within short periods.

- The project scope contains general objectives of the project. There is a possibility of making changes during development.
- Divided into major challenges which are split into smaller tasks, and performed one by one.
- Detailed specifications are worked out on each step, taking into account the need to achieve the main goals.
- Under TM contract, the customer will pay only for real project work.

Software development subscription contract: A subscription contract is often used within a group of companies when allocating an IT infrastructure or a development team to a separate organization to optimize taxation or business process. It is a contract that exists between the manufacturer of the software and the individual or company that purchases it.

Stages in contract:

Generation: It refers to the initial creation or drafting of the contract. Almost no organizations are starting new contracts from scratch, but this can still be a lengthy process. While 48% of respondents have evolved to utilize a dedicated contract lifecycle management tool, the most common methods for contract generation are still standalone tools like Microsoft Word and Google Docs.

Negotiation: After a contract is generated, all parties involved need to negotiate back and forth until final terms are agreed to. This stage in the process is the most time-intensive.

Standard steps such as collecting signatures, catching mistakes, and legal approval are the biggest obstacles for faster negotiation. Keeping the negotiation and process centralized through online collaboration tools reduces the possibility of human error and ensures all parties have access to the most recent version of the contract.

iii) Routing: Contracting professionals use a wide range of tools to share contracts internally and externally. While the most popular routing tools are email and cloud storage systems. When contract routing relies on more than one solution, it opens door for several new problems like reduced visibility or lost documents.

iv) Approval/Signature: When its time to finalize a contract by collecting signatures, today's contracting professionals have largely matured to utilize modern tools. Most of them use e-signature software or a CRM tool for collecting signatures.

v) Storage: Once a contract is finalized, cloud storage is popular with modern organizations. Around two-thirds of respondents use cloud storage to manage completed contracts. Only 10% of organizations rely on paper file cabinets to store agreements. There should be easy to find and access these managed contracts.

⊗ Commonly recognized types of contract placements:

- Traditional contract staffing
- Temp-to-direct hire conversions
- Payrolling for non-recruited candidates.
- Independent contractor to employee conversions.
- Retiree re-staffing
- Internships/co-ops

⊗ Typical Terms of a Contract: [Imp]

i) Form of Agreement: A form of agreement is a standard template or document that outlines the terms and conditions of a legal agreement between two or more parties. It includes information such as identification of the parties, purpose of the agreement, Scope of work, Payment terms, Intellectual property etc.

ii) Definition: It defines all the terminologies used in the contract.
Example: suppliers, user, application etc.

iii) Ownership: It includes terms such as:

→ Can client sell software to others?

→ Can supplier sell software to others?

→ Does supplier retains copyright?

iv) Time Table of activities: Proper, clear schedule of project to be completed. It is used for both Supplier and user.

v) Environment: It includes terms such as:

→ Where equipment or project to be installed?

→ Who is responsible for various aspects of site preparation?

vi) Customer Commitments: Providing access, supply information of software project etc.

⊗ Contract Management: The contract management includes:

→ Progress reporting

→ Decision points [Can be linked to release of payments to contractor].

→ Variations to the Contract [How changes to requirement be dealt?]

→ Should include agreements about customer and supplier relationship and are to be managed.

→ Quality Reviews

→ Changes to Requirement.

⊗ Acceptance:

When the work is completed, the customer now does the acceptance testing. The contract may limit how long acceptance testing can take so the user must be organized to carry out this testing before time limit for requesting correction expires.

#Managing people and organizing terms:

⊗ Understanding Behaviour: Effective and sensitive management of staff comes only from experience. So, the identification and handling of people as well as their behaviour is very much important aspect of project management. We should focus on discipline and organizational behaviour, which can be done through following approaches:

i) Positivist Approach: It is based on development of system and discipline of organizational theory. "If A situation, then B is likely to result".

ii) Interpretivist Approach: It is more qualitative approach and view each and every consumption situations as unique and non-predictive.

⊗ Organizational Behaviour:

In late 19th and early 20th century, Fredric Taylor attempted to analyse the most productive way of doing manual tasks. Basic objectives of Taylor are:

- Select best man for job.
 - Instruct them in best method.
 - Give incentives in the form of higher wages to best workers.
- Organizational behaviour research found that the state of minds of people helps in better productivity.

⊗ Selecting right person for job: [Imp]

We need to select such person for the job who can affect the productivity of project. Anyone who can communicate well and have good experience and skills. So, to select right person for the job we can perform following tasks:

i) Create a job specification: Advice is needed, as there will be legal implications in an official document. However, formally or informally, the requirements of the job should be documented and agreed.

ii) Create a job holder profile: Using the job specification, a profile of the person needed to carry out the job is constructed. The qualities, qualification, education and experience required would be listed.

iii) Obtain applicants: The job holder profile would be examined properly to identify the medium most likely to reach the largest number of potential applications at least cost.

iv) Examine CV: CVs should be read carefully and compared to the job holder profile. Best CVs and with matching job specification should be filtered.

v) Interview: A number of different selection techniques can be tried including personality tests, and examination of samples of previous work.

⊗ Instruction in the Best Methods:

- Decisions need to be made about whether a new comers can more efficiently pick up technical expertise on the job or on formal training course.
- Team leader should be aware of need to judge continually to the training needs of their team members.
- Training should not be abonded.
- Reviews and Inspections should be carried out.

⊗ Motivation:

- An important role of manager is to motivate the people people working on project.
- It is complex issue but it appears to be different based on:
 - ↳ Basic needs (food, sleep, clothing etc.)
 - ↳ Personal needs (respect, self-esteem).
 - ↳ Social needs (to be accepted as a part of a group).

⊗ Working in Groups:

- Most software project development process is a group activity as most of the projects cannot be completed by one person or working alone.
- Group interaction is the key determinant of group performance.
- Flexibility in group composition is limited as people at same level should work in group for better productivity.

Exmpl

⊗ Becoming a team:

or various stages a team passes through

Becoming a team or Team formation model can be described as basic 5 stages of development:

i) Forming: In this stage, the team members are testing each other and exploring where they fit in to the project. Team members are worried about how they fit in with the others and how their capabilities and skills compare. They are looking to the project manager for clarity and direction.

ii) Storming: In the storming stage, there are struggles for power and to determine how the team will work together. In this stage, differences of opinion are common and the team is trying to determine how to work together effectively.

iii) Norming: The individuals are beginning to see how they form a team, how to work together effectively, and have set rules and group norms to work by. They have learned how to resolve their differences of opinion and are becoming much more comfortable with each other, trusting each other to get the job done.

iv) Performing: The team is performing consistently at a high level. They are focused on reaching the project goals as a team. The individual does not exist, the team members are interdependent. They can solve problems on their own and do not rely on product manager.

v) Adjourning: (अतिरिक्त) When the team is done with the project, there is a feeling of loss about having to move on to other projects. This is particularly common with very high performing teams. They have learned how to work effectively and will miss the interactions.

⊗ Decision Making: Decisions can be categorized as;

→ Structured: Relatively simple, routine decisions where rules can be applied in a fairly straight forward way.

→ Unstructured: More complex and often requires a degree of creativity.

⊗ Leadership:

- Leadership depends on respects, not on title or status.
- There should be both, technical and managerial leader.
- A career path based on technical competence should be supported.

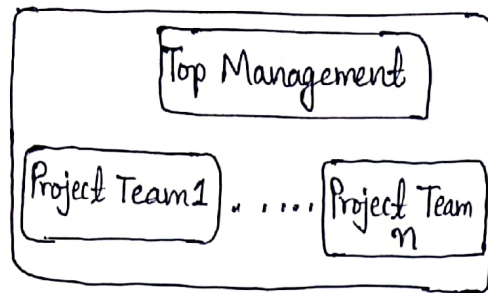
Leadership styles:

Task oriented: Focus on work in hand.

People oriented: Focus on relationships, where there is uncertainty about the way of doing job.

Reduce Uncertainty: Focus on people oriented task.

⊗ Organizational Structure:



Example: Project Organizational Structure.

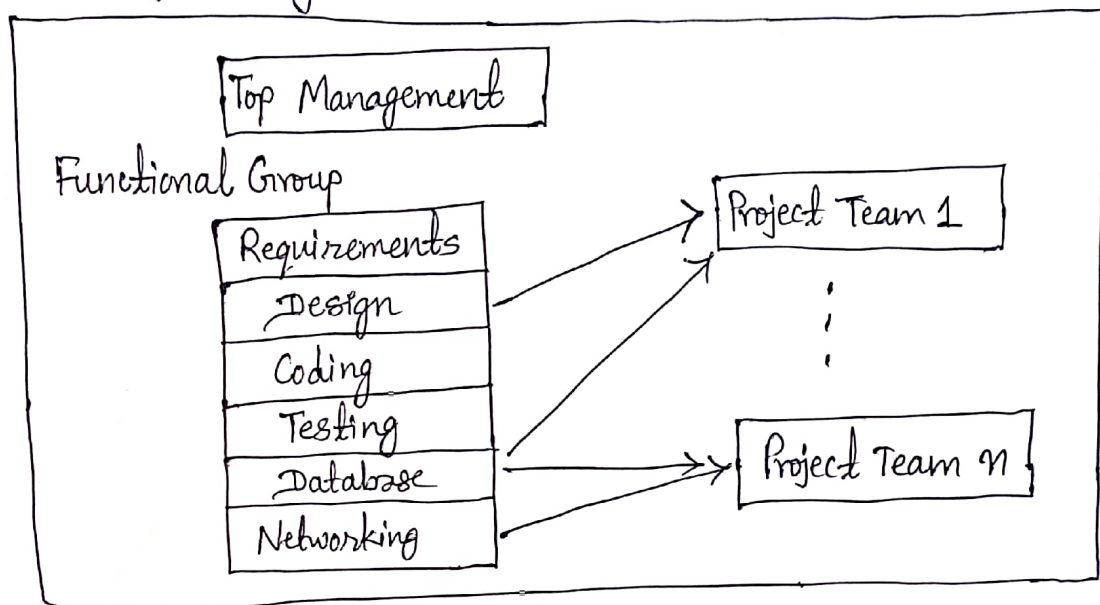


Fig: Functional organizational structure.

⊗ Explain Maslow's hierarchy of needs.

Ans: Following are the Maslow's hierarchy of needs:

i) Self-actualization: It is a desire to become the most that one can be. It includes morality, creativity, problem solving, acceptance of facts etc.

ii) Esteem: It includes respect, self-esteem, status, recognition, strength, freedom etc.

iii) Love and belonging: It includes friendship, intimacy, family, sense of connection etc.

iv) Safety needs: It includes personal security, employment, resources, health, property etc.

v) Physiological needs: It includes air, water, shelter, sleep, clothing, etc.